

Michigan Transit Cost and Productivity Decision Memo

To: Transit operations and finance leaders | From: Quincy Jones | Date: September 29 2026

Recommendation. Use cost per passenger trip to screen for review, then separate demand from cost before changing service. Start route-level review where low passenger trips per revenue hour coincide with weak ridership recovery. For AAATA, prioritize ridership recovery and controllable cost categories; its 2024 unit cost is near the Michigan peer median and its service productivity is above the median.

Decision question

Which Michigan directly operated motor-bus systems show the highest operating cost per passenger trip, and what operating factors should leaders investigate first?

2024 system	Cost per trip	Trips per hour	2019 to 2024 trip recovery
Capital Area Transportation Authority	\$4.48	29.5	80%
Ann Arbor Area Transportation Authority	\$8.28	16.8	75%
Michigan peer median	\$8.53	15.9	64%
Bay Metropolitan Transit Authority	\$20.61	8.1	63%
Bay Area Transportation Authority	\$26.60	3.7	53%

What explains the spread

- Productivity is the clearest screening signal. Systems with fewer passenger trips per revenue hour tend to show higher cost per passenger trip.
- Ridership recovery matters. Fixed service costs spread across fewer trips raise the unit-cost measure even when managers control operating expense.
- Cost per mile provides a second test. Strong productivity with high cost per mile points toward labor, maintenance, deadhead, purchased transportation or service mix.

Action

1. Rank routes by passenger trips per revenue hour and cost per revenue hour.
2. Separate peak, off-peak, weekday and weekend results; flag sustained outliers rather than one-month noise.
3. Review schedule design, span, deadhead and maintenance drivers with operations before changing frequency.
4. Track 60- and 90-day results against service, access and reliability guardrails.

Data and limitation

Source: Federal Transit Administration National Transit Database, 2024 TS2.1 Service Data and Operating Expenses Time Series by Mode. Scope: 15 active Michigan Full Reporters, Motor Bus, Directly Operated. NTD system data cannot identify a specific route that loses money. Route-level passenger counts, schedule, fare and cost-allocation data are required before action.